

me that Microsoft does exceptionally well when it has a well-defined target. When the company went after Netware or Lotus 1-2-3, there was no ambiguity about what the product ought to look like or what the revenues ought to be. It is a very well-defined target.

Alternatively, whenever Microsoft has tried to lead and innovate, it has faltered. Its .NET initiative was a vague undertaking and never made much headway for years. Its Windows Vista operating system is supposed to be revolutionary, but I'd be very surprised if it even matches up to Apple's current offerings.

Microsoft is an excellent lifter and scaler. It has had 90 + percent success in annihilating the "enemy product" it has gone after. It is an open question how the battle of Google versus Microsoft will finally play out. With over sixty thousand employees, Microsoft is now, unfortunately, the bureaucracy it has always despised. If I were given just two investment choices of Google or Microsoft at present prices, it is a no-brainer decision for me. I'd pick Microsoft all day long. It is a battle between an innovator versus a cloner. Good cloners are great businesses. Innovation is a crapshoot, but cloning is for sure.

CASE STUDY: PABRAI INVESTMENT FUNDS

Following in the tradition established by Bill Gates, I'd like to confess that Pabrai Funds also has been a shameless cloner. Prior to starting Pabrai Funds in 1999, I had never worked in the financial services industry. I had, however, spent some time studying the 1950s Buffett Partnerships and contrasted it to the way money was (and is) managed by the majority of mutual funds and hedge funds. I made some useful observations.

First, the Buffett Partnerships had a very unusual fee structure. He charged no management fees to his partners—only performance fees. Investors paid no fee until Mr. Buffett gave them a return of at least 6 percent a year. Above that number, he took 25 percent and investors got the rest. If the fund was up 10 percent for the year, Mr. Buffett got paid 1 percent. If it was up 30 percent, he got paid 6 percent of assets. It struck me